

		intentional misrepresentation. (Charnay v. Cobert (2006) 145 Cal.App.4th 170, 184.) Again, Plaintiffs allege that Defendant made representations about the habitability of the premises and that Defendant either know or reasonably should have known that the premises were not habitable given the presence of toxic mold. Still, Defendant represented that the premises were safe in order to induce Plaintiffs to reside at and pay rent for the premises. Plaintiffs allege they were justified in believing Defendant's representations regarding the habitability and safety and that they suffered physical as well as financial injuries as a result of these misrepresentations. <u>Motion to Strike</u> The Court finds that Plaintiffs have sufficiently alleged that Defendant acted with a conscious disregard for the safety of Plaintiffs by failing to disclose the presence of toxic mold on the property and failing to remediate the toxic mold. Plaintiffs allege that Defendant had the requisite knowledge to eliminate the toxic mold and instead chose to subject Plaintiffs to its toxicity. These allegations are sufficient to state a claim for relief of punitive damages. (Penner v. Falk (1984) 153 Cal.App.3d 858, 867; Civ. Code, § 3294; Code Civ. Proc., §§ 435 and 436.) Defendant to give notice.
104	Chao v. Air Combat USA, 2022-01258475	DEMURRER TO AMENDED COMPLAINT – SUSTAINED IN PART WITH LEAVE TO AMEND AND OVERRULED IN PART Defendants, Air Combat USA, Inc. and Michael J. Blackstone, demur to the second and fourth causes of action in the First Amended Complaint of Plaintiff, Jack W. Chao. The demurer is OVERRULED, in part, SUSTAINED, in part. Initially, Plaintiff correctly contends that the notice of motion misidentifies the causes of action at issue as the second cause of action for conversion and fourth cause of action for unjust enrichment. Rather, Defendants demur to the second cause of action for unjust enrichment/restitution and fourth cause of action for fraud in the inducement, fraudulent concealment, and

		constructive fraud. Although the notice is defective and does not comply with Code of Civil Procedure section 430.60, since it is clear to the parties what causes of action are at issue and the parties have addressed the actual second and fourth causes of action alleged in the operative First Amended Complaint, the Court elects to proceed on the merits. <u>Second Cause of Action for Unjust Enrichment</u> Unjust enrichment is not a separate cause of action. “ ‘Unjust Enrichment’ does not describe a theory of recovery, but an effect: the result of a failure to make restitution under circumstances where it is equitable to do so. In any event, there is no particular form of pleading necessary to invoke the doctrine of restitution.” (Hernandez v. Lopez (2009) 180 Cal.App.4th 932, 938-939.) The demurrer to this cause of action will be sustained with 20 days leave to amend. Absent extraordinary circumstances, further leave to amend will not be granted. <u>Fourth Cause of Action for Fraud in the Inducement/Fraudulent Concealment/Constructive Fraud</u> Defendant demurs to the fourth cause of action on the grounds (1) it fails to state facts sufficient to state a cause of action, and (2) it is barred by the litigation privilege. The gravamen of Plaintiff’s fraud claims are the statements and communications made by Defendants (as Plaintiff’s prospective clients) relating to Plaintiff’s possible retention to represent ACUSA in the O’Reilly Matter. The Court finds that the fourth cause of action states a cause of action against Defendants. The Court further finds that the fourth cause of action is not barred by the litigation privilege. Civil Code section 47(b) provides, in part, that a privileged publication is one made “[i]n any (1) legislative proceeding, (2) judicial proceeding, (3) in any other official proceeding authorized by law, or (4) in the initiation or course of any other proceeding authorized
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		by law” This privilege applies to any communication and to all torts except malicious prosecution, and applies to any publication permitted by law in the course of a judicial proceeding to achieve the objects of the litigation, even if the publication is made outside the courtroom and no function or its officers is involved. (Silberg v. Anderson (1990) 50 Cal.3d 205, 212.) Thus, it applies to any communication “(1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action. [Citations.]” (Ibid.) “ ‘The principal purpose of [the litigation privilege] is to afford litigants and witnesses [citation] the utmost freedom of access to the courts without fear of being harassed subsequently by derivative tort actions. [Citations.]’ [Citation.] In order to achieve this purpose of curtailing derivative lawsuits, we have given the litigation privilege a broad interpretation.’ [Citation.]” (Olsen v. Harbison (2010) 191 Cal.App.4th 325, 333.) “The breadth of the litigation privilege cannot be understated. It immunizes defendants from virtually any tort liability (including claims for fraud), with the sole exception of causes of action for malicious prosecution. [Citation.]” (Ibid.) “The litigation privilege applies to statements made ‘by litigants or other participants authorized by law’ [citation], and it attaches to communications ‘made in, or in anticipation of, litigation.’ [Citation.]” (Id. at p. 334.) Here, the FAC alleges that the fraudulent inducement and material nondisclosure by Defendants occurred in the execution of the contingency fee agreement in October 2017. Plaintiff alleges that the October 20, 2017 contingent fee agreement was signed in reliance on ACUSA’s affirmative representations and omissions; that had Plaintiff known the omitted facts, Plaintiff would not have agreed to the same fee agreement and would have required materially different compensation and risk allocation terms, and that Plaintiff forewent other professional and legal opportunities in reliance on Defendants’ material misrepresentations and omissions. (FAC, ¶¶ 36-37.)
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		In contrast to Olsen v. Harbison (2010) 191 Cal.App.4th 325, in this case the defendants' statements were made for economic self-interest and were not made to achieve the objects of the litigation or to help obtain a verdict or settlement. (Id. at pp. 335-336.) The Court therefore OVERRULES the demurrer to the fourth cause of action. The Court GRANTS Defendants' request for judicial notice. Plaintiff to give notice.
105	Huntington Beach v. Surf City Partners, 2026-01565130	MOTION FOR COURT-ORDERED SERVICE – GRANTED Plaintiff City of Huntington Beach moves this Court for an order authorizing service of process on Defendant through the California Secretary of State pursuant to Corporations Code section 17701.16(c). The unopposed motion is GRANTED pursuant to Corporations Code §17701.16(c). Service shall be made upon Surf City Partners, LLC by delivering by hand to the Secretary of State, or to any person employed in the Secretary of State's office in the capacity of assistant or deputy, one copy of the process for each defendant to be served, together with a copy of the order authorizing the service. Service in this manner shall be deemed complete on the 10th day after delivery of the process to the Secretary of State. Clerk to give notice.
106	Fullerton v. Air Combat USA, 2026-01548989	MOTION FOR LEAVE TO INTERVENE – GRANTED “The court shall, upon timely application, permit a nonparty to intervene in the action or proceeding if either of the following conditions is satisfied: . . . (B) The person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that